The rapid increase in food grain production was accompanied by appropriate technological interventions in the dairy, poultry and fisheries sectors. As a result, the milk production in the country witnessed an eight-fold increase, egg production grew 40-fold and fish production by 13-fold between the time of Independence and mid-2000s. However, India could not succeed in attaining self-sufficiency in the production of pulses and oil seeds. Therefore, India depends on imports to meet the requirements of people.

Public Distribution System

Tamil Nadu has adopted an 'Universal' PDS, the rest of the states in India had a 'Targeted' PDS. Under universal PDS all the family ration card holders are entitled to the supplies from PDS. In the targeted PDS, the beneficiaries are identified based on certain criteria and given their entitlements, leaving out the rest. Both the Union and the State governments subsidised the supplies distributed through PDS. The level and quantum of subsidy also varied across states.



Public Distribution System

Subsequently, the National Food Security Act (NFSA) was passed by the Indian parliament in 2013. The NFSA covers 50% of urban households and 75% of the rural households. These households are known as priority households identified based on a set of criteria. Priority households of this country now have the right to food supply through PDS. The Union government supplies rice at the rate of ₹ 3 per kg, wheat at the rate of ₹ 2 per kg, and millets at the rate of ₹ 1 per kg under NFSA. Tamil Nadu continues to have the universal system of PDS and supplies rice at free of cost to all card holders.

National Food Security Act in Tamil Nadu

On 1 November 2016, National Food Security Act was implemented in Tamil Nadu after holding out for three years.

Role of Consumer Cooperatives in Food Security

Consumer cooperatives play an important role in the supply of quality goods at responsible rates to common people. There is a three-tier structure of consumer cooperative societies in India. They are primary consumer cooperative societies. Central consumer cooperative stores and state level consumer federations. More than 50,000 village level societies are engaged in the distribution of consumer goods in rural areas. This scheme is playing an important role in food security in India. For example out of all fair price shops running in Tamil Nadu, around 94% are being run by cooperatives.

Buffer Stock



Buffer Stock

Buffer stock is the stock of food grains, namely wheat and rice, procured by the government through the Food Corporation of India (FCI). The FCI purchases wheat and rice from the farmers in states where there is surplus production. The farmers are paid a pre-announced price for their crops. This price is called Minimum Support Price (MSP). The MSP is declared by the government every year before the sowing season to provide incentives to farmers for raising the production of these crops. The purchased foodgrains are stored in granaries.

Buffer stock is done to distribute foodgrains in the deficit areas and among the poorer strata of the society at a price lower than the market price also known as the Issue Price. This also helps resolve the problem of shortage of food during adverse weather conditions or during the periods of calamity.

25_Economics_Unit_3_EM.indd 313 23-03-2020 20:00:23